

CHAPTER 3: SECTOR ANALYSIS

After identifying a favorable macro, the next step is to find a leading sector. Research shows that 40-60% of a stock's performance comes from the industry it belongs to.

3.1 RRG Charts (Relative Rotation Graph)

RRGs are the most powerful tool for identifying industry turnarounds. The X axis is Relative Strength, the Y axis is Momentum. 4 quadrant division diagram:

Quadrant	Meaning & Action
Leading (top right)	The industry is strong and is accelerating → BUY, increasing the proportion
Weakening (bottom right)	The industry is strong but is decreasing momentum → Monitoring, preparing to exit
Lagging (bottom left)	The industry is weak and continues to be weak → AVOID, do not buy
Improving (top left)	The industry is weak but recovering → Early Opportunities, monitor

Free Tools: StockCharts.com → RRG → select the SPY benchmark → view 11 sector ETFs (XLK, XLF, XLE, XLV, XLC, XLY, XLP, XLI, XLB, XLRE, XLU).

3.2 Macro Theme — Investing in the Macro Story

Macro themes are long-term trends that are supported by policies or changes in economic structure. Investors should align their portfolios with themes that are having strong cash flow:

Macro Theme	Beneficiary Industries/Stocks
AI & Cloud Computing	Technology (XLK): NVDA, MSFT, GOOGL, AMD
Prolonged high interest rates	Financials (XLF): JPM, BAC, GS — benefiting from NIM
Energy restructuring	Energy (XLE): XOM, CVX + Cleantech: ENPH, NEE
Aging Population	Healthcare (XLV): UNH, LLY, JNJ, MDT
Onshoring / Reshoring	Industrials (XLI): CAT, DE, ETN, HON
Consumer recovery	Consumer Discretionary (XLY): AMZN, HD, NKE
Defensive play	Utilities (XLU), Consumer Staples (XLP), Gold (GLD)